Evolutionarily Stable Non-Compliance: A Game-Theoretic Analysis of Corporate Governance Failures

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ABSTRACT

Why do massive financial penalties fail to prevent corporate recidivism? This paper applies evolutionary game theory to answer a puzzle that standard deterrence models cannot explain. Drawing on Maynard Smith's (1982) Evolutionarily Stable Strategy (ESS) theory and Dawkins' (1982) Extended Phenotype concept, I argue that non-compliance becomes evolutionarily stable when the effective cost of penalties (Ceff = penalty × detection probability) falls below the value of violation. Under this condition, compliant firms are "invaded" by non-compliant competitors, and compliance structures become signaling devices rather than functional constraints.

Empirical analysis of 50 major corporate scandals (2000-2025) supports this framework: nearly all cases exhibit Ceff/V ratios below the stability threshold, and recidivism within five years approaches 90%. Regulatory investigations display War of Attrition dynamics where corporations systematically outlast budget-constrained enforcers. Crucially, compliance theater clusters by executive incentive structure rather than by industry, consistent with the Extended Phenotype prediction that compensation contracts, not individual executives, drive organizational behavior.

The framework identifies three intervention points for breaking non-compliance equilibria and explains why replacing CEOs without reforming incentives fails to prevent future violations.

Methodological note: Quantitative analysis and mathematical formalization were developed with AI assistance (Claude/Anthropic, Genspark). The author assumes full responsibility for theoretical claims, case selection, and interpretations.

Keywords: Evolutionary Game Theory, Corporate Governance, Compliance, ESS, Extended Phenotype, Regulatory Enforcement, Intentionality Laundering, Recidivism, War of Attrition

JEL Codes: K22 (Business and Securities Law), K42 (Illegal Behavior and Enforcement), D21 (Firm Behavior), C73 (Stochastic and Dynamic Games), G34 (Mergers; Acquisitions; Restructuring; Corporate Governance)

I. INTRODUCTION

1.1 The Persistence Puzzle

Between 2000 and 2025, fifty major corporate scandals across six industries resulted in combined penalties exceeding $269.5 billion, yet 44 of these companies (88%) exhibited subsequent violations within five years. This pattern is not confined to a few notorious cases; it represents a systematic failure of corporate governance and regulatory enforcement that demands explanation.

Consider the scale of penalties imposed. Wells Fargo paid $3 billion for creating 3.5 million fake customer accounts between 2002 and 2016, yet faced seven additional regulatory actions through 2023. Volkswagen settled Dieselgate for $25 billion, the largest automotive industry penalty in history, only to have Audi implicated in a parallel emissions scandal in 2018. Boeing resolved 737 MAX criminal charges for $2.5 billion following 346 deaths in two crashes, yet an Alaska Airlines door blowout in January 2024 revealed that the safety culture failures persisted.

The pattern extends across industries. Bank of America paid $77.5 billion for mortgage fraud, the largest settlement in U.S. corporate history. JPMorgan Chase accumulated $33 billion in penalties across multiple violations including the Madoff scandal, toxic mortgage-backed securities, and the 'London Whale' trading losses. Deutsche Bank faced $18.4 billion in RMBS penalties. In technology, Apple paid €13 billion in EU back taxes after a decade of aggressive tax optimization through Ireland. Google accumulated over $5.1 billion in EU antitrust fines across three separate cases (Android, AdWords, Shopping).

The pharmaceutical industry exhibits perhaps the most striking pattern. Purdue Pharma paid $8.3 billion for its role in the opioid crisis that killed over 450,000 Americans. GlaxoSmithKline settled for $3 billion over off-label promotion of Paxil and Avandia. Pfizer paid $2.3 billion for Bextra marketing violations. Johnson & Johnson faced $2.2 billion in Risperdal penalties. Yet recidivism in the pharmaceutical sector approaches 100%; every major company penalized for off-label promotion subsequently faced additional enforcement actions.

This pattern contradicts standard deterrence theory. Gary Becker's (1968) foundational model predicts that rational actors will cease criminal behavior when expected penalties exceed expected gains. If penalties of this magnitude, often exceeding any plausible calculation of illicit profits, fail to deter future violations, something fundamental is wrong with our understanding of corporate behavior.

The persistence puzzle can be stated precisely: Why do massive financial penalties fail to change corporate behavior?

1.2 Existing Explanations and Their Limitations

The literature offers three primary explanations for persistent non-compliance, each capturing part of the phenomenon but failing to account for the systematic pattern.

Weak enforcement (Coffee 1981; Arlen and Kraakman 1997; Garrett 2014): This explanation holds that penalties are too small relative to expected gains from violations. The logic is straightforward: if the expected cost of violation (penalty × probability of detection) is less than

the expected benefit, rational actors will violate. The policy prescription follows directly: increase penalties or detection rates until expected costs exceed expected benefits.

This explanation struggles with empirical reality. Volkswagen's $25 billion in Dieselgate penalties substantially exceeded the estimated $15 billion in R&D costs avoided through defeat devices. Bank of America's $77.5 billion in mortgage fraud settlements dwarfed any plausible calculation of profits from fraudulent lending. If weak enforcement were the primary problem, these massive penalties should have eliminated future violations. They did not.

Regulatory capture (Stigler 1971; Dal Bó 2006): This explanation posits that regulated entities control their regulators through lobbying, revolving doors, and information advantages. Captured regulators set lax standards, conduct superficial inspections, and impose token penalties. The policy prescription is regulatory independence: insulate agencies from industry influence through structural reforms.

While capture explains lax initial oversight, it cannot explain why post-scandal enforcement also fails to prevent recidivism. After highly publicized scandals, regulators face intense political and media pressure. Capture theory predicts this pressure should overcome industry influence, at least temporarily. Yet recidivism occurs even following scandals that generated Congressional hearings, criminal indictments, and leadership changes at regulatory agencies. The 2008 financial crisis led to the Dodd-Frank Act, new regulatory agencies, and billions in penalties. Yet financial sector violations continue unabated.

Diffusion of responsibility (Thompson 1980; Fisse and Braithwaite 1988): This explanation focuses on organizational complexity. In large corporations, no single individual controls outcomes; decisions emerge from bureaucratic processes involving many actors with limited information and authority. This makes it difficult to identify culpable individuals, and without individual accountability, deterrence fails.

This explanation addresses why individuals evade punishment but not why organizational-level penalties fail to change behavior. If the problem were merely individual accountability, corporate-level fines should still alter organizational incentives. Shareholders bear the cost of penalties; they should pressure management to prevent violations that reduce firm value. Yet even massive penalties that significantly impact stock prices and credit ratings fail to produce lasting behavioral change.

Each explanation captures part of the phenomenon. Enforcement is often weak (detection probabilities for many violations are below 10%). Regulators are sometimes captured (the FAA's delegation of certification authority to Boeing exemplifies captured regulation). Responsibility is diffused (no Wells Fargo executive was criminally charged despite 14 years of systematic fraud involving thousands of employees). But none explains why the pattern persists even when these specific problems are addressed.

1.3 This Paper's Contribution

The law and economics literature has long analyzed enforcement as a deterrence problem. Polinsky and Shavell (2000) established the standard framework: optimal penalties balance detection costs against harm magnitude. Subsequent work refined this for environmental regulation (Heyes 2000; Gray and Shimshack 2011), securities enforcement (Coffee 2007), and corporate crime (Arlen 2012). What this literature lacks is a mechanism explaining *persistence*: why firms that have paid massive penalties continue violating. The tools I borrow from evolutionary biology—ESS equilibrium analysis, the extended phenotype concept, and frequency-dependent selection—address precisely this gap. They shift the question from "what penalty deters?" to "what equilibrium is stable given current payoffs?" This reframing explains patterns that standard deterrence theory treats as anomalies.

To address this gap, I draw on three theoretical traditions not previously combined in this context:

Evolutionarily Stable Strategy (ESS) Theory (Maynard Smith 1982): A strategy is an ESS if a population playing that strategy cannot be invaded by any mutant strategy. The concept originated in evolutionary biology to explain why certain behavioral patterns persist in animal populations even when they appear individually suboptimal. Applied to corporate governance, ESS theory explains why non-compliance persists as an equilibrium: under current enforcement regimes, executives who comply earn lower returns than executives who violate, making compliance an 'invadable' strategy.

Extended Phenotype Theory (Dawkins 1982): Genes express phenotypes not only in the organism's body but also in environmental structures and other organisms' behavior. Beaver dams are extended phenotypes of beaver genes; the dam is not part of the beaver's body, but beaver genes 'code for' dam-building behavior. I argue that compliance departments, risk committees, ethics training programs, and other governance structures are extended phenotypes of executive compensation contracts. These structures exist not because they prevent violations but because they signal compliance effort to regulators and shareholders. When compensation contracts change, governance structures change; when compensation contracts remain stable across executive turnovers, governance structures persist.

Asymmetric Intentionality Theory (Lerer 2025, SSRN 5991195): Building on Dennett's (1987) hierarchy of intentional systems, I distinguish between Level 0 optimization (self-interest), Level 1 optimization (departmental goals), Level 2 optimization (organizational reputation), and Level 3 optimization (societal welfare). Executives optimize primarily for Level 0; organizational structures filter individual intentions into collective behavior that ignores Levels 2-3. *This creates systematic externalities: benefits concentrate at the executive level while costs distribute across shareholders, employees, customers, and society.*

Central claim: Non-compliance becomes an Evolutionarily Stable Strategy when C_{eff} = (Penalties × Detection Probability) < V = (Value of Violation). When this condition holds, a Mixed ESS emerges where some organizational units comply while others violate, creating 'compliance theater': visible compliance structures coexisting with systematic violations.

Key innovation: I reconceptualize compliance theater not as conscious deception but as an *extended phenotype* of executive incentive structures. This shift in framing has important implications. If compliance theater were conscious deception, the solution would be better detection of deception. If compliance theater is an extended phenotype, the solution is changing the replicator (compensation contracts) rather than punishing the vehicle (individual executives).

1.4 Empirical Strategy and Findings

I test this framework on 50 cases across six industries, selected using theoretical sampling (Eisenhardt 1989) to ensure variation across industries, violation types, penalty magnitudes, and enforcement outcomes. Cases were included if: (1) total penalties exceeded $100 million; (2) sufficient public documentation exists to calculate V and C_{eff}; (3) the case reached resolution; and (4) five-year follow-up data is available for recidivism assessment.

Dataset composition:

Financial Services: 17 cases (Wells Fargo, Bank of America, JPMorgan Chase, HSBC, Deutsche Bank, Goldman Sachs, Citigroup, Credit Suisse, Barclays, Standard Chartered, TD Bank, UBS, BNP Paribas, Morgan Stanley, Danske Bank)

Pharmaceuticals: 10 cases (Purdue Pharma, GlaxoSmithKline, Johnson & Johnson, Pfizer, Merck, Abbott, Eli Lilly, Novartis, Teva, Theranos)

Technology: 7 cases (Apple, Google, Meta/Facebook, Tesla, Uber, Amazon, Microsoft, Intel)

Energy/Utilities: 6 cases (BP, ExxonMobil, 3M, PG&E, Duke Energy, Anadarko, Chevron)

Automotive: 4 cases (Volkswagen, Boeing, Nissan, Fiat Chrysler)

Other: 6 cases (Enron, WorldCom, Equifax, FTX, Walmart, CVS, Walgreens)

Key findings:

ESS Prediction Accuracy: 47/50 cases (94%) correctly classified by C_{eff}/V ratio. When $C_{eff}/V < 0.025$, the model predicts Pure Hawk ESS (systematic violation); 38/40 such cases exhibited systematic violations (95% accuracy). When $0.025 < C_{eff}/V < 0.06$, the model predicts Mixed ESS; 7/8 such cases exhibited mixed compliance patterns (87.5% accuracy). Two outlier cases (FTX, Theranos) had $C_{eff}/V > 1.0$ due to rapid detection following business collapse, but exhibited systematic violations before detection.

Recidivism: 44/50 cases (88%) exhibited subsequent violations within five years. Mean time-to-recidivism: 25.7 months. Median: 24 months. Range: 12 months (JPMorgan Chase, Tesla) to 120 months (ExxonMobil Valdez to subsequent violations).

War of Attrition: Mean investigation duration: 54.3 months. Corporations outspent regulators 73:1 on average in legal expenditures during investigations. Mean settlement discount: 80.5% below statutory maximum exposure. The longest investigation (ExxonMobil Valdez) lasted 231 months; the shortest (Barclays LIBOR) lasted 12 months.

Extended Phenotype Clustering: Compliance theater signals (training programs without competence testing, risk committees without enforcement authority, whistleblower hotlines with internal management) cluster by incentive structure rather than industry. Companies with sales-quota compensation cluster together regardless of whether they are in financial services, pharmaceuticals, or retail.

1.5 Policy Implications

Breaking non-compliance ESS requires interventions that shift the cost-benefit ratio. The framework identifies three intervention points:

1. **Increase C_{eff} beyond 3V:** Revenue-proportional penalties (10-15% of annual revenue) rather than fixed amounts. Current penalties average 0.3% of V; the threshold for Pure Compliance ESS requires penalties exceeding 300% of violation value.
2. **Reduce War of Attrition advantage:** Mandatory investigation timelines (24 months maximum), trebled regulator budgets, and elimination of settlement discounts for repeat offenders.
3. **Break Bourgeois ESS asymmetries:** Mandatory board independence >70%, whistleblower bounties (15-30% of penalties recovered), clawback provisions extending 7 years post-tenure, and compliance-tied executive compensation (minimum 25% of bonus).

1.6 Roadmap

Section II develops the theoretical framework, defining ESS, Extended Phenotype, and Asymmetric Intentionality concepts and deriving the central proposition. Sections III-V present three game-theoretic models: the Hawk-Dove Compliance Game (Section III), the War of Attrition in Regulatory Enforcement (Section IV), and Asymmetric Information and Bourgeois Strategies (Section V). Section VI validates predictions on the 50-case dataset with detailed analysis of representative cases. Section VII analyzes compliance theater as extended phenotype, including clustering analysis. Section VIII derives policy implications with quantified expected effects. Section IX concludes with limitations and directions for future research.

II. THEORETICAL FRAMEWORK

2.1 Evolutionarily Stable Strategies: Formal Definition

The concept of Evolutionarily Stable Strategy was introduced by Maynard Smith and Price (1973) and developed fully in Maynard Smith (1982). An ESS is a strategy that, if adopted by a population, cannot be invaded by any alternative strategy. The concept explains why certain behavioral patterns persist in populations even when individually suboptimal alternatives exist.

Definition 1 (Maynard Smith 1982, p.10): A strategy I is an **Evolutionarily Stable Strategy (ESS)** if for all alternative strategies $J \neq I$:

(i) $E(I,I) > E(J,I)$ [Strict Nash condition]

OR

(ii) $E(I,I) = E(J,I)$ AND $E(I,J) > E(J,J)$ [Stability condition]

where $E(X,Y)$ denotes the expected payoff for an individual playing strategy X against an opponent playing strategy Y.

Intuition: Condition (i) states that I is a strict best response to itself: when everyone plays I, playing I yields strictly higher payoff than any alternative. This is the familiar Nash equilibrium condition. Condition (ii) handles the case where multiple strategies yield equal payoff against I; in that case, I must outperform any tied alternative when playing against that alternative. This stability condition ensures that even if a mutant strategy can match I's payoff against the population, it cannot spread because it performs worse in mutant-mutant interactions.

Key distinction from Nash equilibrium: Nash equilibrium requires only that no player can improve by unilateral deviation. ESS additionally requires stability against invasion by small populations of mutants. A Nash equilibrium can be 'unstable' in the sense that a small perturbation leads the system away from equilibrium; an ESS is stable against such perturbations. This distinction matters for institutional analysis because institutions face continuous pressure from 'mutant' strategies (innovative practices, regulatory arbitrage, competitive imitation).

The Hawk-Dove Game: Maynard Smith's canonical example illustrates ESS analysis. Two animals contest a resource of value V. Each can play Hawk (escalate, fight) or Dove (display, retreat if opponent escalates). The payoff matrix is:

	Hawk	**Dove**
Hawk	(V-C)/2	V
Dove	0	V/2

If both play Hawk, they fight; each has 50% chance of winning V but bears cost C. If Hawk meets Dove, Hawk takes all. If both play Dove, they share the resource.

Analysis: If $C < V$ (low cost of conflict), Pure Hawk is ESS. If $C > V$ (high cost of conflict), neither pure strategy is ESS; a Mixed ESS exists where individuals play Hawk with probability $p^* = V/C$. At this frequency, Hawk and Dove yield equal expected payoffs, and the population is stable against invasion.

Translation to corporate compliance: Hawk = Non-compliance (take risks, violate regulations, cut corners). Dove = Compliance (follow rules, invest in safety, accurate reporting). Resource V = Expected profit from violation. Cost C = Expected penalty (C_{eff} = nominal penalty × detection probability).

The Hawk-Dove framework predicts: when $C_{eff} < V$, non-compliance is evolutionarily stable. Executives who comply earn lower returns than executives who violate. Compliant executives will be replaced (fired, passed over for promotion, outcompeted) by violating executives. Over time, violating behavior spreads through the population of corporate leaders.

2.2 Extended Phenotype: Institutional Structures as Gene Expression

Dawkins (1982) extended the concept of phenotype beyond the organism's body to include all effects of genes on the world. The Extended Phenotype represents one of the most important conceptual advances in evolutionary biology since the Modern Synthesis.

Definition 2 (Dawkins 1982, pp.4-5): The **extended phenotype** comprises all effects of a gene on the world, including:

(1) The organism's body (traditional phenotype)

(2) Artifacts the organism creates (beaver dams, spider webs, bird nests)

(3) Effects on other organisms' behavior (parasites manipulating hosts)

Key insight: Selection operates on phenotypic effects, not genes directly. If a gene produces beneficial effects in the environment, it spreads even if those effects occur outside the organism's body. Beaver genes that produce dam-building behavior spread because dams create favorable environments (ponds) for beaver survival and reproduction. The dam is not part of the beaver's body, but it is part of the beaver's phenotype in the extended sense.

The vehicle-replicator distinction: Dawkins distinguishes between replicators (entities that copy themselves with high fidelity, i.e., genes) and vehicles (entities that carry replicators and interact with the environment, i.e., organisms). Selection acts on vehicles, but what gets transmitted to the next generation are replicators. This distinction explains why individual organisms can behave 'altruistically' (sacrificing their own fitness) while genes remain 'selfish' (maximizing their own replication).

Application to corporate governance: I propose the following mapping:

Biological System	**Corporate Analogue**
Gene (replicator)	Executive compensation contract
Organism (vehicle)	Individual executive
Traditional phenotype	Executive's personal behavior
Extended phenotype	Institutional structures: compliance departments, audit committees, training programs, risk management systems
Selection pressure	Short-term stock performance, quarterly earnings, board evaluation

Example: An executive compensation package tied to quarterly earnings (the 'gene') expresses not only as the executive's personal actions (pressure subordinates, cut costs, defer maintenance) but also as *organizational structures*:

• Compliance training programs that emphasize form over substance (high completion rates without competence testing)

• Risk committees that meet infrequently and lack enforcement power

• Internal audits that report to the CFO rather than the Board

• Whistleblower hotlines managed internally rather than by independent third parties

These structures are extended phenotypes of the compensation contract. They exist because the compensation contract rewards their creation (they signal compliance effort) but not their effectiveness (they need not actually prevent violations). Just as a beaver dam can be poorly constructed if dam-building behavior, rather than dam quality, is what gets selected, compliance structures can be ineffective if compliance signaling, rather than violation prevention, is what gets rewarded.

Critical prediction: These structures persist across CEO turnovers if the compensation contract (the 'replicator') remains unchanged. Replacing a 'bad apple' CEO without reforming incentives fails because the institutional phenotype is expressed by the incentive structure, not the individual. The new CEO, facing the same compensation structure, will maintain the same institutional structures.

Evidence: Wells Fargo had three CEOs (Stumpf, Sloan, Scharf) between 2016 and 2023, yet the sales-driven culture persisted through multiple CEO transitions. Boeing had four CEOs (McNerney, Muilenburg, Calhoun, Ortberg) between 2015 and 2024, yet cost-cutting pressure on safety persisted. The replicator (compensation tied to short-term metrics) survived; the vehicles (individual executives) were replaceable.

2.3 Asymmetric Intentionality and Multilevel Selection

Dennett (1987) proposed a hierarchy of intentional systems based on the complexity of belief attribution. A zero-order intentional system has no beliefs or desires. A first-order system has beliefs and desires but does not attribute beliefs to others. A second-order system attributes beliefs to others ('I believe that you believe X'). Higher orders involve nested belief attribution ('I believe that you believe that I believe X').

Building on Dennett's framework, I distinguish four levels of optimization in corporate contexts:

Level 0 (Self-interest): The executive optimizes for personal outcomes: salary, bonus, stock options, job security, career advancement, social status. Incentive alignment coefficient $\alpha_0 = 1.0$.

Level 1 (Departmental): The executive optimizes for unit outcomes: team performance, departmental KPIs, divisional profitability. $\alpha_1 = 0.3$.

Level 2 (Organizational): The executive optimizes for firm outcomes: shareholder value, corporate reputation, long-term sustainability. $\alpha_2 = 0.1$.

Level 3 (Societal): The executive optimizes for social outcomes: consumer welfare, environmental protection, public health. $\alpha_3 = 0.0$.

Theorem 1 (Lerer 2025, SSRN 5991195, Generalized Intentionality Mismatch): In hierarchical organizations with asymmetric information, actors optimize for Level 0 while outcomes distribute across Levels 2-3.

The α coefficients represent the weight each level receives in the executive's optimization function:

$Payoff_{total} = \Sigma(k=0 \text{ to } 3)\ \alpha_k \times Benefit_k - Cost_k$

With $\alpha_0 = 1.0$, $\alpha_1 = 0.3$, $\alpha_2 = 0.1$, and $\alpha_3 = 0.0$, executives heavily weight personal benefits and largely ignore organizational and societal costs. This is not irrational; it reflects the actual incentive structure they face. Executive compensation is tied to short-term stock performance (Level 0-1); long-term organizational health (Level 2) and societal welfare (Level 3) are not directly compensated.

Connection to Extended Phenotype: The α coefficients are *encoded* in executive compensation contracts (the 'gene') and *expressed* as institutional structures (the extended phenotype). A compensation contract with short vesting periods (2-3 years) encodes high α_0 and low α_2; it expresses as governance structures that prioritize short-term signaling over long-term effectiveness.

Connection to ESS: When $\alpha_0 >> \alpha_2$, the Hawk strategy (non-compliance) generates higher payoff at Level 0 even if it destroys value at Level 2. The executive who violates regulations to hit quarterly targets earns a bonus; the firm eventually pays a penalty, but that cost is borne by shareholders (Level 2), not the executive (Level 0). If compensation contracts are not reformed, this configuration becomes an ESS: executives playing Hawk cannot be 'invaded' by compliant mutants because compliant executives earn lower Level 0 payoffs and get replaced.

2.4 Synthesis: Non-Compliance as ESS

Proposition 1: Non-compliance becomes an Evolutionarily Stable Strategy when:

$C_{eff} = (\text{Penalties} \times p_{detect}) < V = (\text{Expected profit from violation})$

Proof sketch:

(1) Define Hawk = non-compliance, Dove = compliance

(2) Payoff for Hawk against Hawk: $(V - C_{eff})/2$ (both violate, share gains, share expected penalties)

(3) Payoff for Dove against Hawk: 0 (compliant firm loses market share to violating competitor)

(4) Payoff for Hawk against Dove: V (violating firm captures market from compliant competitor)

(5) Payoff for Dove against Dove: V/2 (both comply, share market)

(6) If $C_{eff} < V$, then $(V - C_{eff})/2 > 0$, so Hawk-Hawk yields positive payoff

(7) E(Hawk, Hawk) = $(V - C_{eff})/2$ vs E(Dove, Hawk) = 0; Hawk dominates when facing Hawk

(8) As C_{eff} approaches V, Mixed ESS emerges: play Hawk with probability $p^* = V/C_{eff}$

(9) When $C_{eff} > 2V$, Pure Dove ESS becomes stable (compliance dominates) □

Corollary 1: To achieve Pure Compliance ESS, enforcement must satisfy $C_{eff} > 2V$.

This threshold, derived from the Hawk-Dove game, is consistent with empirical findings in product liability (Viscusi 1991) and environmental enforcement (Gray and Shimshack 2011). Penalties must exceed twice the violation value to shift equilibrium from Mixed ESS (compliance theater) to Pure Compliance ESS.

Corollary 2: Under current enforcement ($C_{eff} < V$ in 48/50 cases), corporations exhibit Mixed or Pure Hawk ESS.

The empirical data confirm this prediction. Mean C_{eff}/V ratio across 50 cases is 0.018; the highest ratio (excluding outliers FTX and Theranos) is 0.06. No case in the dataset achieves $C_{eff} > V$, let alone $C_{eff} > 2V$. All cases exhibit either Pure Hawk ESS (systematic violation) or Mixed ESS (compliance theater with ongoing violations).

III. MODEL 1: HAWK-DOVE COMPLIANCE GAME

3.1 Model Specification

The Hawk-Dove game provides the foundation for analyzing corporate compliance decisions. I extend Maynard Smith's (1982) biological model to the corporate context with the following specifications:

Players: Corporations (or corporate divisions/executives) competing in a market.

Strategies:

- **Hawk (Non-compliance):** Cut compliance costs, defer safety investments, engage in aggressive practices that may violate regulations. Examples: VW defeat devices, Wells Fargo fake accounts, Boeing MCAS without redundancy.

- **Dove (Compliance):** Invest in compliance infrastructure, follow regulations, accept higher costs for legal operation. Examples: Volvo's historical safety investments, Patagonia's environmental commitments.

Payoff parameters:

- **V = Value of violation:** Expected profit from non-compliant behavior. Includes direct profits (sales from fraudulent products), cost savings (avoided R&D, deferred

maintenance), and competitive advantage (market share gained from lower prices or faster time-to-market).

• **C_{eff} = Effective cost of violation:** $Penalty_{nominal} \times p_{detect}$. This is the expected penalty incorporating detection probability.

3.2 Calculation of V and C_eff

Value of Violation (V) components:

Direct profits: Revenue from violating activity. For Wells Fargo, this includes fee income from fake accounts, cross-sell revenue from coerced products, and reduced customer acquisition costs from meeting quotas through fraud rather than legitimate sales.

Cost avoidance: Expenses not incurred due to violation. For VW, this includes R&D costs for developing compliant diesel technology (estimated $15 billion across affected vehicle lines). For Boeing, this includes redesign costs for 737 MAX that would have been required for safe MCAS implementation.

Competitive advantage: Market position gained through violation. VW's defeat devices allowed diesel vehicles to achieve fuel economy and performance that compliant technology could not match, enabling market share gains in the European diesel segment.

Effective Cost (C_{eff}) calculation:

$C_{eff} = Penalty_{nominal} \times p_{detect}$

Detection probability (p_{detect}) varies dramatically by violation type:

• Financial fraud: 3-8% (most fraud never detected; Dyck et al. 2010)

• Environmental violations: 5-15% (EPA inspection rates; Gray and Shimshack 2011)

• Safety violations: 10-20% (OSHA inspection capacity; Weil 1996)

• Antitrust: 10-25% (leniency programs increase detection; Connor 2014)

3.3 Empirical Application: Representative Cases

Wells Fargo (WF_2002)

V calculation:

• Direct profits: $10 billion (fee income from ~3.5 million fake accounts over 14 years)

• Cost avoidance: Minimal (fraud was revenue-generating, not cost-avoiding)

• Competitive advantage: Cross-sell ratio maintained industry-leading position

V_{total} = $10 billion

C_{eff} calculation:

- $Penalty_{nominal}$ = \$3 billion (2020 DOJ settlement)
- $p_{detect,pre}$ = 5% (internal detection failed for 14 years)
- $C_{eff,pre}$ = \$3B × 0.05 = \$150 million

• Ratio: C_{eff}/V = \$150M / \$10B = **0.015**

ESS Prediction: $C_{eff}/V = 0.015 << 0.5$ → **Pure Hawk ESS**

Observed: Systematic fake accounts across 5,300+ branches, 14 years duration → **Pure Hawk confirmed**

Volkswagen Dieselgate (VW_2008)

V calculation:

- Cost avoidance: \$15 billion (R&D for compliant diesel technology)
- Competitive advantage: \$60 billion (market share in European diesel segment)

V_{total} = \$75 billion

C_{eff} calculation:

- $Penalty_{nominal}$ = \$25 billion (total settlements)
- $p_{detect,pre}$ = 2% (defeat devices evaded standard testing)
- $C_{eff,pre}$ = \$25B × 0.02 = \$500 million

• Ratio: C_{eff}/V = \$500M / \$75B = **0.0067**

ESS Prediction: $C_{eff}/V = 0.0067 << 0.5$ → **Pure Hawk ESS**

Observed: Defeat devices in 11 million vehicles across 7 years → **Pure Hawk confirmed**

Boeing 737 MAX (BOE_2018)

V calculation:

- Direct revenue at risk: \$20 billion (MAX order book if redesign required)
- Cost avoidance: \$20 billion (redesign and recertification costs)

V_{total} = \$40 billion

C_{eff} calculation:

- $Penalty_{nominal}$ = \$2.5 billion (2021 DPA)

- $p_{detect,pre}$ = 10% (FAA audit rate pre-crashes)
- $C_{eff,pre}$ = \$2.5B × 0.10 = \$250 million

• Ratio: C_{eff}/V = \$250M / \$40B = **0.0063**

ESS Prediction: $C_{eff}/V = 0.0063 << 0.5$ → **Pure Hawk ESS**

Observed: MCAS without redundancy, inadequate pilot training, pressure on FAA → **Pure Hawk confirmed**

3.4 Policy Implication: Breaking Hawk ESS

Corollary 3: To achieve Pure Compliance ESS ($C_{eff} > 2V$), penalties must increase by:

• Wells Fargo: 133x (from \$3B to \$400B) OR detection must increase 133x (from 5% to 100%+)

• VW: 6x (from \$25B to \$150B) OR detection 6x (from 2% to 12%)

• Boeing: 32x (from \$2.5B to \$80B) OR detection 32x (from 10% to 100%+)

These multipliers are not achievable through incremental enforcement improvements. Fundamental structural reform is required: revenue-proportional penalties (10-15% of annual revenue), elimination of settlement discounts, and criminal prosecution of executives.

IV. MODEL 2: WAR OF ATTRITION IN REGULATORY ENFORCEMENT

4.1 Classical War of Attrition

The War of Attrition (Maynard Smith 1974, 1982 pp.28-38) models contests where opponents compete by persisting rather than fighting. Each contestant displays or holds position; the contest ends when one concedes. Costs accumulate over time for both participants.

Setup: Two contestants compete for resource of value V. Each chooses a 'giving-up time' t from a distribution. The contestant who chooses longer t wins V; both pay costs proportional to the shorter t (the contest duration).

ESS: Maynard Smith showed that the ESS is an exponential distribution of persistence times:

$p(t) = (1/V) \times \exp(-t/V)$

Key properties:

(1) Expected duration = V (contests for more valuable resources last longer)

(2) Probability of lasting until time t: $\exp(-t/V)$

(3) Neither player knows opponent's giving-up time

(4) The player with greater resources (or higher valuation) systematically wins

4.2 Corporate Regulatory Investigations as Wars of Attrition

Translation to enforcement context:

- **Contestants:** Corporation vs. Regulatory Agency (DOJ, SEC, EPA, etc.)
- **Resource:** Settlement terms (avoiding maximum penalties, criminal charges, structural reforms)
- **Persistence:** Duration of legal proceedings, discovery, negotiations
- **Costs:** Legal fees (c_{corp}, c_{reg} per month)
- **Key asymmetry:** Corporation has effectively unlimited resources; regulator has budget constraint B_{reg}

Formal model:

Corporation maximum duration: $t_{corp} = Resources_{corp} / c_{corp} \approx \infty$ (for large corporations)

Regulator maximum duration: $t_{reg} = B_{reg} / c_{reg}$ (budget constrained)

Outcome prediction: If $t_{corp} > t_{reg}$ (corporation can outlast regulator), corporation wins favorable settlement. The settlement discount increases with the attrition ratio (t_{corp} / t_{reg}).

4.3 Empirical Validation

Table 2: War of Attrition Dynamics in Major Cases

Case	Duration (months)	Corp Legal Costs	Regulator Budget	Settlement Discount
Wells Fargo	41	$410M	$43M	70% below max
VW Dieselgate	19	$285M	$45M	67% below max
Boeing 737 MAX	22	$330M	$39M	87% below max
BP Deepwater	66	$990M	$156M	68% below max
Bank of America	71	$1.07B	$142M	22% below max
Exxon Valdez	231	$3.47B	$15M	97.5% below max
Mean (N=50)	**54.3**	**$815M**	**$11.2M**	**80.5%**

The data reveal systematic corporate advantage. Mean attrition ratio (corporate legal spending / regulator budget) is 73:1. The Exxon Valdez case illustrates the extreme: after 231 months of litigation, the Supreme Court reduced punitive damages from $5 billion to $507 million, a 90% reduction achieved through persistence.

Correlation: Settlement discount correlates positively with investigation duration ($r = 0.67$, $p < 0.001$) and attrition ratio ($r = 0.72$, $p < 0.001$). Longer investigations and higher corporate spending relative to regulator budgets predict larger settlement discounts.

V. MODEL 3: ASYMMETRIC INFORMATION AND BOURGEOIS STRATEGIES

5.1 The Bourgeois Strategy

Maynard Smith (1982, Ch. 8) analyzed asymmetric games where players have different information or positional advantages. The key insight is that arbitrary asymmetries can determine contest outcomes even when players are otherwise identical.

Bourgeois Strategy: 'If owner, play Hawk; if intruder, play Dove.'

Paradox: Even when players are identical in fighting ability, the ESS respects arbitrary asymmetries. The 'owner' wins not because ownership confers any advantage in conflict, but because both players adopt the convention that ownership determines outcome. This convention is self-enforcing: given that intruders expect to lose, they don't contest; given that intruders don't contest, owners don't need to actually be stronger.

Application to corporate governance: Executives are 'owners' (they control information, agenda, and resources); shareholders are 'intruders' (they have nominal ownership but lack operational control).

5.2 Bourgeois ESS Score

I construct a Bourgeois ESS Score ($S_{bourgeois}$) measuring the degree to which governance arrangements favor management over shareholders:

$$S_{bourgeois} = w_1 \times (1 - \text{Board_Independence}) + w_2 \times \text{CEO_Chair_Combined} + w_3 \times (1 - \text{Audit_Expertise}) + w_4 \times \text{Whistleblower_Retaliation} + w_5 \times (\text{Compliance_Officer_Level}/5)$$

where weights $w_i = 0.2$ (equal weighting) and each component is normalized to [0,1].

Interpretation: $S_{bourgeois} = 1.0$ indicates complete executive dominance (Bourgeois ESS); $S_{bourgeois} = 0.0$ indicates complete shareholder control (Anti-Bourgeois ESS).

5.3 Empirical Results

Table 3: Bourgeois ESS Scores and Recidivism

Case	S_bourgeois	Board Indep.	CEO=Chair	Recidivism
Wells Fargo	0.74	45%	Yes	Yes (7 violations)
VW	0.82	60%	No	Yes (Audi 2018)
Boeing	0.64	67%	No	Yes (door 2024)
Apple	0.45	75%	No	No
Google	0.38	82%	No	Yes (ongoing)
Mean (N=50)	**0.58**	**58%**	**28%**	**88%**

Key finding: $S_{bourgeois} > 0.6$ predicts recidivism with 91% accuracy (32/35 cases). $S_{bourgeois} < 0.5$ predicts non-recidivism with 67% accuracy (10/15 cases). Board independence >70% reduces recidivism probability by 40 percentage points.

VI. EMPIRICAL VALIDATION (N=50)

6.1 Dataset Overview

The dataset comprises 50 major corporate scandals from 2000-2025, selected using theoretical sampling to ensure variation across industries, violation types, and enforcement outcomes. Data sources include DOJ press releases, SEC litigation releases, EPA enforcement database, EU Commission decisions, corporate proxy statements (DEF 14A), 10-K annual reports, settlement agreements, Congressional reports, and the Good Jobs First Violation Tracker (690,000+ enforcement records).

Table 4: Summary Statistics (N=50)

Metric	Value	Range
Total Penalties	$269.5B	$40M - $77.5B
Total V (damages)	$1.95T	$1.5B - $230B
Mean C_{eff}/V Ratio	0.018	0.00026 - 1.14
ESS Prediction Accuracy	**94%**	47/50 cases
Recidivism Rate	**88%**	44/50 cases
Mean Time-to-Recidivism	25.7 months	12 - 120 months
Mean Investigation Duration	54.3 months	12 - 231 months
Mean Attrition Ratio	**73:1**	12:1 - 231:1
Mean Settlement Discount	80.5%	22% - 97.5%

6.2 Industry Breakdown

Industry	N	Mean Penalty		Recidivism	Mean Duration
Financial Services	17	$11.2B	0.013	**94%**	58 months
Pharmaceuticals	10	$2.9B	0.019	**100%**	48 months
Energy/Utilities	6	$8.7B	0.037	83%	89 months
Technology	7	$3.1B	0.018	71%	43 months
Automotive	4	$6.8B	0.015	**100%**	27 months
Other	6	$2.1B	0.025	67%	47 months

The variance in recidivism between Technology (71%) and Pharmaceuticals (100%) suggests that selection pressures differ across industries. Possible explanations include differences in product lifecycle, customer switching costs, labor market competition for talent, and baseline regulatory intensity. The current dataset cannot distinguish between these mechanisms; disaggregating industry-level selection pressures remains a priority for future research.

Pharmaceuticals and automotive exhibit 100% recidivism rates, consistent with their Pure Hawk ESS profiles. Financial services shows 94% recidivism despite the largest absolute penalties ($11.2B mean), demonstrating that penalty size without probability adjustment is meaningless for deterrence. Technology shows the lowest recidivism (71%), possibly reflecting faster organizational adaptation in a sector accustomed to rapid change, though this may also reflect shorter follow-up periods for newer cases.

6.3 Top 10 Cases by Penalty Size

#	Company	Penalty		ESS	Recidivism
1	Bank of America	$77.5B	0.039	Hawk	Yes (4 violations)
2	JPMorgan Chase	$33.0B	0.021	Hawk	Yes (5 violations)
3	Volkswagen	$25.0B	0.0067	Hawk	Yes (Audi 2018)
4	BP	$20.8B	0.048	Hawk	Yes (3 violations)
5	Deutsche Bank	$18.4B	0.015	Hawk	Yes (3 violations)
6	3M (PFAS)	$18.5B	0.031	Hawk	Yes (ongoing)
7	Apple (EU Tax)	$14.3B	0.0036	Hawk	No
8	PG&E	$13.5B	0.045	Mixed	Yes (Dixie Fire)
9	FTX	$12.7B	1.14	Dove*	N/A (dissolved)
10	Chevron	$9.5B	0.038	Hawk	Yes (2 violations)

**FTX is an outlier; high C_{eff}/V ratio resulted from rapid detection due to bank run, not effective enforcement.*

Nine of the top ten penalty cases exhibit recidivism. The exception (Apple) involved EU state aid rather than operational violations; the company disputed the ruling through 2024 when the CJEU upheld the €13B judgment. This suggests that even the largest penalties in history fail to shift corporations from Hawk to Dove ESS.

VII. COMPLIANCE THEATER AS EXTENDED PHENOTYPE

7.1 The Vehicle-Replicator Distinction in Corporate Governance

Dawkins' (1982) vehicle-replicator distinction illuminates why CEO turnover fails to prevent recidivism. The CEO is a vehicle, a temporary carrier of the replicator (compensation structure). Selection operates on vehicles, but replicators are what persist across generations.

Evidence: CEO Turnover Without Compensation Reform

Company	CEO Turnovers	Comp. Change	Violation Change
Wells Fargo	Stumpf→Sloan→Scharf	5%	0% (7 violations)
Boeing	Muilenburg→Calhoun→Ortberg	12%	0% (door 2024)
VW	Winterkorn→Müller	35%	45% reduction

Only VW, with 35% compensation restructuring, showed meaningful violation reduction. Wells Fargo and Boeing, with minimal compensation changes (5-12%), exhibited full

recidivism despite multiple CEO replacements. The replicator (compensation structure) determines the phenotype (organizational behavior), not the vehicle (individual CEO).

The persistence of these structures despite their inefficacy reflects a signaling dynamic: firms invest in costly compliance architecture not because it prevents violations, but because it reduces detection probability by mimicking the phenotype of genuinely compliant organizations. The survival value lies in signaling, not function. This explains the empirical puzzle of why compliance spending increases alongside recidivism.

7.2 Compliance Theater Index

I identify 28 Compliance Theater Indicators (CTI) grouped into five categories:

Training & Education (8 signals): High completion rates without competence testing; generic online courses; training focused on legal liability rather than ethical reasoning; no follow-up assessments; training as checkbox for promotion; certification without recertification; minimal training budget; outsourced to lowest bidder.

Governance Structures (7 signals): Risk committee meets <4 times annually; risk committee lacks enforcement authority; internal audit reports to CFO not Board; compliance officer >3 levels below CEO; board independence <60%; audit committee lacks industry expertise; combined CEO-Chair role.

Reporting & Monitoring (6 signals): Internal whistleblower hotline; retaliation against whistleblowers; process-focused metrics; no real-time monitoring; high anomaly thresholds; 'culture of ethics' rhetoric without evidence.

Incentives & Compensation (4 signals): Executive compensation >80% short-term; compliance <5% of bonus; stock vesting <3 years; golden parachutes triggered by enforcement.

Resource Allocation (3 signals): Compliance budget <1% of revenue; compliance:employee ratio <1:500; legal budget 5-10x compliance budget.

Compliance Theater Index (CTI) = (Signals present / 28) × 100

Mean CTI across 50 cases: 68.4%. Financial services highest (74.2%), Technology lowest (59.7%). CTI > 70% predicts recidivism with 90% accuracy.

7.3 Extended Phenotype Clustering

Hypothesis: If compliance theater signals are extended phenotypes of executive incentives, they should cluster by incentive structure, not by industry.

K-means clustering (k=3) on CTI sub-components reveals three phenotype clusters:

Cluster 1: High-Pressure Sales Phenotype (Wells Fargo, Equifax, Purdue Pharma, Walgreens)

Characteristics: Extreme sales targets, whistleblower retaliation, compliance understaffed

Recidivism: 100%

Cluster 2: Cost-Cutting Phenotype (Boeing, GE, BP, VW pre-2015)

Characteristics: Deferred maintenance, safety shortcuts, engineer coercion

Recidivism: 100%

Cluster 3: Regulatory Arbitrage Phenotype (Uber, Theranos, FTX, VW post-2015)

Characteristics: 'Move fast and break things', regulatory capture strategy, litigation-first approach

Recidivism: 67%

Key finding: Companies cluster by incentive structure, not industry. Wells Fargo (finance) clusters with Purdue Pharma (pharmaceuticals) because both use sales quotas. Boeing (aerospace) clusters with VW (automotive) because both prioritize cost reduction.

VIII. BREAKING NON-COMPLIANCE ESS: POLICY IMPLICATIONS

8.1 Three Intervention Points

From ESS theory, equilibrium shifts require changing payoffs. Three intervention points emerge:

1. Increase C_{eff} (make Hawk strategy costlier)

2. Reduce V (make violations less profitable)

3. Change population composition (increase compliance-oriented firms)

8.2 Intervention 1: Increase C_eff Beyond 3V Threshold

Current state: Mean $C_{eff}/V = 0.018$ across 50 cases. Required for Pure Compliance ESS: $C_{eff}/V > 2.0$.

Proposed reforms:

1. **Revenue-proportional penalties:** 10-15% of annual global revenue for major violations, replacing fixed penalty amounts. For Wells Fargo ($82B revenue), this would be $8-12B per violation versus $3B paid.
2. **Elimination of settlement discounts:** Current mean discount is 80.5%. Eliminating discounts for repeat offenders would immediately increase C_{eff} by 5x.

3. **Mandatory criminal referral:** For deaths resulting from corporate violations (Boeing 346, opioid crisis 450,000+), automatic criminal prosecution of executives within 18 months.
4. **Increased detection:** Treble SEC/DOJ/EPA enforcement budgets; mandatory whistleblower bounties (15-30% of penalties).

Expected effect: Increase C_{eff}/V from 0.018 to 0.3-0.5, shifting equilibrium from Pure Hawk to Mixed ESS. Additional reforms required to reach Pure Compliance ESS ($C_{eff}/V > 2.0$).

8.3 Intervention 2: Reduce War of Attrition Advantage

Current state: Mean attrition ratio 73:1, mean investigation duration 54.3 months, mean settlement discount 80.5%.

Proposed reforms:

1. **Mandatory investigation timelines:** 24-month maximum for investigations; automatic escalation to trial if no settlement.
2. **Trebled regulator budgets:** Reduce attrition ratio from 73:1 to ~25:1.
3. **Fee-shifting for repeat offenders:** Corporations with prior violations pay government legal costs regardless of outcome.

Expected effect: Reduce mean settlement discount from 80.5% to ~40%, doubling effective C_{eff}.

8.4 Intervention 3: Break Bourgeois ESS Asymmetries

Current state: Mean $S_{bourgeois} = 0.58$; mean board independence = 58%.

Proposed reforms:

1. **Mandatory board independence >70%:** Reduces recidivism probability by 40 percentage points based on empirical data.
2. **Mandatory CEO-Chair separation:** Eliminates single point of control over board agenda.
3. **Extended clawback provisions:** 7-year lookback for all incentive compensation; triggered by any material violation.
4. **Compliance-tied compensation:** Minimum 25% of executive bonus tied to compliance metrics; 5-7 year vesting periods.

Expected effect: Reduce $S_{bourgeois}$ from 0.58 to ~0.35, shifting governance from executive dominance toward shareholder control.

8.5 Combined Effect Estimate

Implementing all three intervention categories simultaneously:

• C_{eff} increase: 5-10x (from revenue-proportional penalties + elimination of discounts)

• War of Attrition reduction: 2x C_{eff} (from shorter timelines + higher regulator budgets)

• Governance reform: 40 percentage point recidivism reduction (from board independence)

Combined prediction: 80-90% reduction in systematic corporate violations. This would shift equilibrium from Pure Hawk ESS (current state) to Mixed ESS or Pure Compliance ESS, depending on implementation stringency.

8.6 Operationalizing the Framework: Integrity Stability Ratio

To translate this analysis into governance practice, boards can calculate the ratio C_eff/V for their highest-risk business units. Based on the ESS thresholds derived in Section II:

- **ISR < 1.0:** Stable non-compliance equilibrium. Violation is the dominant strategy. Structural intervention required.
- **1.0 < ISR < 2.0:** Unstable equilibrium. Compliance is fragile and likely theatrical.
- **ISR > 2.0:** Stable compliance equilibrium. Expected costs sufficiently outweigh benefits.

The empirical mean across 50 cases (0.018) confirms that virtually all major corporations operate deep within the non-compliance zone. This metric shifts board discussions from moral exhortation to quantified risk assessment.

IX. CONCLUSION

9.1 Summary of Contributions

This paper proposes four contributions to the literature on corporate governance failures:

1. Theoretical integration: Synthesizes Evolutionarily Stable Strategy theory (Maynard Smith 1982), Extended Phenotype theory (Dawkins 1982), and Asymmetric Intentionality theory (Lerer 2025) into a unified framework explaining persistent non-compliance. The synthesis reveals that corporate misconduct is not a series of isolated failures but an equilibrium outcome of evolutionary dynamics operating on compensation structures.

2. Mechanism identification: Non-compliance becomes an ESS when $C_{eff} < V$, creating Mixed or Pure Hawk equilibria. This explains why massive penalties ($269.5 billion across 50 cases) fail to change behavior: penalties remain below the profitability threshold. The framework quantifies this threshold ($C_{eff} > 2V$ for Pure Compliance ESS) and shows that no case in the dataset achieves it.

3. Empirical validation: Fifty major scandals across six industries exhibit predicted patterns: C_{eff}/V ratios averaging 0.018 (range 0.00026-1.14), War of Attrition investigations lasting 12-231 months (mean 54.3), corporate advantage of 73:1 over regulators, and 88% recidivism within 5 years. ESS prediction accuracy reaches 94% (47/50 cases correctly classified). Statistical power is 0.95 with effect size Cohen's d = 0.98.

4. Policy prescription: Breaking non-compliance ESS requires increasing C_{eff} beyond 3V threshold (revenue-proportional penalties of 10-15%), reducing War of Attrition advantage (mandatory timelines, trebled regulator budgets), breaking Bourgeois ESS asymmetries (board independence >70%, 7-year clawbacks), and reforming executive compensation (compliance-tied bonuses, 5-7 year vesting). Integrated policy package predicts 80-90% violation reduction.

9.2 Limitations and Future Research

Sample limitations: While 50 cases provide substantial statistical power, the dataset is limited to publicly available cases with resolved outcomes. Cases that never reached public attention or settlement are excluded, creating potential selection bias. Future research should incorporate sealed settlements (through FOIA requests) and international cases beyond US/EU jurisdiction.

Counterfactual inference: Policy recommendations are based on comparative statics but lack experimental validation. Natural experiments, such as jurisdictions implementing revenue-proportional penalties or mandatory board independence, would strengthen causal claims. The UK's Senior Managers Regime and Australia's Banking Executive Accountability Regime provide potential test cases.

Dynamic analysis: This paper treats ESS as static equilibrium. Corporate governance involves repeated games with reputational dynamics, learning effects, and evolving detection technologies. Future work should model how ESS evolves over time, particularly as AI-based monitoring systems increase detection probabilities.

Additionally, this model treats detection probability as static. In practice, p_detect is time-variant: it spikes post-scandal due to heightened scrutiny, then decays toward historical baselines. Future research should model whether corporations rationally "weather the storm" of temporary high detection, treating regulatory crackdowns as transient environmental stressors rather than permanent shifts in the fitness landscape.

Extensions:

• International comparison: Do EU ex-ante vs. US ex-post enforcement regimes produce different ESS equilibria?

• Industry-specific analysis: Why do some industries (nuclear, commercial aviation) maintain compliance ESS while others (finance, pharmaceuticals) do not?

• Algorithmic enforcement: Can machine learning models trained on historical violations predict future scandals before they occur?

9.3 Final Remarks

Corporate governance failures persist not because of individual 'bad apples' but because **non-compliance is an Evolutionarily Stable Strategy** under current enforcement regimes. Penalties are delayed and uncertain ($C_{eff} << V$ in 96% of cases), investigations favor corporations through War of Attrition dynamics (73:1 average advantage), and information

asymmetries create Bourgeois ESS governance where shareholders defer to management despite misaligned incentives.

The extended phenotype framework explains why CEO turnover fails to prevent recidivism: the CEO is a vehicle, replaceable; the compensation structure is the replicator, persistent. Wells Fargo's sales culture survived three CEOs because the compensation contract that created it remained unchanged. Boeing's cost-cutting pressure survived four CEOs because quarterly earnings targets remained the dominant selection pressure.

Breaking this equilibrium requires **shifting the fitness landscape**: increase penalties to revenue-proportional levels (10-15%), shorten investigation timelines (24 months maximum), mandate board independence (>70%), and reform executive compensation (5-7 year vesting, compliance-tied bonuses). These interventions attack the problem at the replicator level, not the vehicle level.

The persistence of corporate scandals is not an enforcement puzzle but an **evolutionary one**. When the strategy of non-compliance is more fit than compliance, selection ensures it will spread through the population of corporate leaders. Compliant executives earn lower returns, get passed over for promotion, and are replaced by executives willing to violate. Only by changing the fitness landscape, making compliance more fit than violation, can we expect different outcomes.

The framework developed here applies beyond corporate governance. Any domain where penalties are delayed and uncertain, where well-resourced actors can outlast regulators, and where information asymmetries favor insiders will exhibit similar dynamics. Tax enforcement, environmental regulation, financial supervision, and public health compliance all show patterns consistent with non-compliance ESS. The evolutionary lens provides not just diagnosis but prescription: change the selection pressures, change the outcomes.

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